

Question 1

According to theory, which of the following is most useful in response to a fall in consumption?

Select an answer and submit. For keyboard navigation, use the up/down arrow keys to select an answer.

a	A government budget surplus
---	-----------------------------

b	Increasing interest rates
---	---------------------------

c	An increase in government spending
---	------------------------------------

d	A freeze on wages and prices
---	------------------------------

Correct Answer:

✓ c - An increase in government spending



Question 2

The Global Financial Crisis (GFC)

What is the key feature that distinguished the GFC from other “regular” macroeconomic shocks?

Select an answer and submit. For keyboard navigation, use the up/down arrow keys to select an answer.

- | | |
|---|--|
| a | Increasing unemployment |
| b | Falling prices |
| c | A lack of consumer and investor confidence |
| d | The presence of a credit crunch |

Correct Answer:

✓ d - The presence of a credit crunch



Question 3

The house price bubble

Which of the following was NOT a key driver of the housing price bubble in the US and elsewhere?

Select an answer and submit. For keyboard navigation, use the up/down arrow keys to select an answer.

a Expectations of rising house prices

b Mortgage securitization

c Accurate debt pricing to reflect risk

d Lax monitoring

Correct Answer:

✓ **c** - Accurate debt pricing to reflect risk



Question 4

Review

From the list below, what are key causes of the credit crunch?

Select All That Apply

?

☐

A

Well regulated banking systems

☒

B

A significant increase in the number of household mortgage defaults

☐

C

Rising asset values

☒

D

Large values of bad debts on bank balance sheets





Question 5

Rev

What is a key reason the New Zealand and Australian banking system was not as affected as the Northern Hemisphere system?

?



A

A low interest rate environment



B

Increasing house prices fueling demand for loans



C

Relatively adequate supervision/oversight of the banking sector



D

Mortgage securities were actively traded in New Zealand

Question 6

Fill in the Blanks

Type your answers in all of the blanks and submit

X_e X^e Ω $\cdot$

Let's suppose a house costs \$400,000. If the household makes a deposit of \$50,000, the percentage of the deposit is %

Correct Answer:

Let's suppose a house costs \$400,000. If the household makes a deposit of \$50,000, the percentage of the deposit is

✓ 12.5



Question 7

Let's suppose a house costs \$400,000. If the household makes a deposit of \$50,000, the percentage of the mortgage is _____%

Select an answer and submit. For keyboard navigation, use the up/down arrow keys to select an answer.

a 14.29%

b 87.5%

c 90%

d 12.5%

Correct Answer:

✓ **b** - 87.5%



Question 8

Let's suppose a house costs \$400,000. If the household makes a deposit of \$50,000, and later the house price increases to \$500,000 (assume the mortgage remains the same), the value of the house has increased by _____%

Select an answer and submit. For keyboard navigation, use the up/down arrow keys to select an answer.

a 25%

b 100,000%

c 50%

d 20%

Correct Answer:

✓ **a** - 25%

Question 9

Let's suppose a house costs \$400,000. If the household makes a deposit of \$50,000, and later the house price increases to \$500,000 (assume the mortgage remains the same), the equity stake is now worth \$_____

Select an answer and submit. For keyboard navigation, use the up/down arrow keys to select an answer.

a \$50,000

b \$100,000

c \$150,000

d \$500,000

Correct Answer:

✓ c - \$150,000



Question 10

Let's suppose a house costs \$400,000. If the household makes a deposit of \$50,000, and later the house price increases to \$500,000 (assume the mortgage remains the same), the increase in equity is \$_____

Select an answer and submit. For keyboard navigation, use the up/down arrow keys to select an answer.

a \$50,000

b \$100,000

c \$150,000

d \$500,000

Correct Answer:

✓ b - \$100,000

Question 11

Let's suppose a house costs \$400,000. If the household makes a deposit of \$50,000, and later the house price increases to \$500,000 (assume the mortgage remains the same), the return on equity of the household's investment is:

Select an answer and submit. For keyboard navigation, use the up/down arrow keys to select an answer.

a 100%

b 300%

c 200%

d 50%

Correct Answer:

✓ **c** - 200%

Question 12

The household's leverage ratio is defined as:

Select an answer and submit. For keyboard navigation, use the up/down arrow keys to select an answer.

- a** the household's equity stake in the asset divided by the value of the asset
- b** the percentage value of the household's equity stake in the asset
- c** the value of the household's asset divided by their equity in the asset
- d** the value of the household's asset multiplied by its equity stake in the asset

Correct Answer:

✓ **c** - the value of the household's asset divided by their equity in the asset



Question 13

Fill in the Blanks

Type your answers in all of the blanks and submit

X_2

X^2

Ω

The household's leverage ratio in this situation is

Write your response here...

.

(Note that the house is worth \$400,000 and the household's deposit is \$50,000.)

Correct Answer:

The household's leverage ratio in this situation

is

✓ 8



Question 14

Let's suppose the house price increases by 25% to \$500,000. The return on the equity of the household's investment is

Select an answer and submit. For keyboard navigation, use the up/down arrow keys to select an answer.

a \$100,000.

b 100%

c 300%

d 200%

e 50%

Correct Answer:

✓ **d** - 200%



Question 15

Let's return back to the original scenario of a house worth \$400,000 and the household's deposit is \$50,000. By how much would the value of the house have to fall for the household to have negative equity?

Select an answer and submit. For keyboard navigation, use the up/down arrow keys to select an answer.

a

12%

b

5%

c

at least \$50,000

d

10%

Correct Answer:

✓ **c** - at least \$50,000

Question 16

Buying a house using only 25% of your own money (deposit) means 75% is borrowed from a bank. Low deposits (and therefore high leveraging) to purchase investment like a house causes:

Select an answer and submit. For keyboard navigation, use the up/down arrow keys to select an answer.

- a** Returns on equity are more sensitive to price changes
- b** Returns on equity are less sensitive to price changes
- c** Households are safer and less likely to default on their debt payments
- d** Households can more easily smooth their consumption

Correct Answer:

✓ **a** - Returns on equity are more sensitive to price changes